

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

BLUE SHEET

Blue Sheets are a department's final bill analysis and provides the Commissioner an opportunity to weigh in on legislation that has passed, with a recommendation to the Governor on action that may be taken– to enact the bill, to veto the bill, or to allow the bill to become Law without signature (LWOS). Much of the information requested in the Blue Sheet can be taken from the department's bill analyses (BA), which were initially submitted at the time the bill was introduced and updated throughout the legislative process.

Blue sheets are due to the GLO three days after the enrolled bill appears on basis, or sooner by request.

Department: DEED

Date: 5/19/2026

Bill Number: HB 246

Short Title (as it appears on BASIS): Special Education Service Agency Funding

What action do you recommend the Governor take?

Select one.

☒ **SIGN** ☐ **VETO** ☐ **LWOS**

Action Justification – Why do you recommend the above action?

Please be specific.

House Bill 246 addresses the immediate financial challenges facing the Special Education Service Agency (SESA) by adjusting its funding to match rising costs. Currently, maintaining the standard level of support for Alaska school districts requires more money. This is especially true when trying to hire and keep highly trained professionals for rare disabilities, since these specialists can get higher pay packages elsewhere. The increased funding in this bill is designed to balance out these rising costs and hiring pressures, ensuring that the quality of these important services does not drop.

Additionally, this legislation adjusts SESA's appropriation within the state's education funding formula. The funding is tied to total school district enrollment through a formula multiplier. However, a major issue arises when overall district enrollment goes down, even though the specific number of students in districts who need SESA's specialized help actually grows every year. The boost in funding gives SESA a more stable financial foundation so it can continue providing necessary services to the school districts it assists.

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Finally, this measure protects a vital support system for rural and remote school districts. These smaller communities often lack the budget or the local job pool to hire their own full-time specialists for rare conditions like deaf-blindness or severe autism. As a shared statewide resource, SESA sends experts to these distant locations whenever they are needed, helping small schools meet complex student needs. Approving HB 246 provides the financial adjustments needed to keep this remote service model running and helps local districts meet federal special education laws.

Click or tap here to enter text.

What does this Bill do?

In addition to providing a succinct bill summary, please also consider the following: Why is this bill needed? How does it specifically change department programs? What is the anticipated impact on the public, the private sector? Does this bill align with the priorities of Governor Dunleavy?

This legislation increases the funding of the Special Education Servicing Agency.

Detailed Sectional Analysis

The full sectional analysis of the bill should be completed by the lead agency. Other departments should include an analysis for sections of the bill affecting their agencies.

Section 1: Amends AS 14.30.650. *Funding* by changing the rate of the allocation from \$23.13 to \$26.89 times the state’s average daily membership for the previous year.

Section 2: Amends the uncodified law of the State of Alaska by adding a new section, RETROACTIVITY, making this Act retroactive to July 1, 2026. Note that the retroactive date for this bill is in the future.

Section 3: The Act takes effect on July 1, 2026.

Companion or Similar Bills

Please note companion legislation, the sponsor of the companion legislation, and identify any “rider” bills or provisions from other legislation that was included in this final bill. Please include the name of the sponsor of the “rider bill” or provision. If it was added as an amendment in a committee – please indicate the name of the legislator that sponsored the amendment.

None

Support/Opposition of the Bill

Please identify names, organizations, titles, and phones numbers of those who testified in support or in opposition of this bill.

Support:

Claire Reed, Special Education Teacher, Lower Kuskokwim School District, 907-543-2845
Dr. Lisa Parady, Executive Director, Alaska Council of Administrators, 907-586-9702

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Richard Saville, Alaska Governor's Council on Disabilities and Special Education
Richard Saville — Anchorage Governor's Council on Disabilities and Special Education
Karen Page -- Alaska Gateway School District
Kelly McBride — Student's Support Services Galena School District
Jeanne Gerhardt-Cyrus -- President, Board of Directors, Special Ed. Service Agency
Elizabeth Joseph
Sally Dybdahl
Jeanne Gerhardt-Cyrus — Special Education Service Agency — shared her story with her daughter

Bill Signing ceremony suggestions (if applicable)

Please provide information for consideration for a bill signing ceremony. Information that is helpful includes: a specific conference, event, venue, date, and the names and contact information of stakeholders who should be considered for an invitation to the bill signing ceremony.

None

Commissioner's Signature: _____



Date: 5/19/2026

I have reviewed the above information and provided it to the Governor's Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.

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